tion No:

AOU
الجامعة العربية المفتوحة
Arab Open University

ID: _____

Name: _____

Faculty of Business Studies

B207B

Shaping Business Opportunities II

Mid-term Exam/Version C

Fall 2025-2026

3/December/2025

Number of Exam Pages: 10 (including this cover sheet)	**Time Allowed: 2 hours**

FIVE (5) minutes to read all instructions carefully before attempting to write.
le phones must be in "SWITCHED **OFF**" mode throughout the examination.
s a **CLOSED** book examination. NO documents of any kind are allowed.
Mid-term exam will be marked out of 100 marks and is worth 30% of the total mark of the B207B
OT write your answers in pencil except for graphs/sketches.
nts are **NOT** allowed to use any type of dictionary or mobile phone during the examination.
work crossed out will **NOT** be marked.
orm of cheating will **NOT** be tolerated and will subject you to the AOU Cheating Policy.

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Question No.	Mark	Marker's Signature
Q1		
Q2		
Q3		
Q4		

nents (FOR OFFICIAL USE ONLY):

Total: ____ / 100

Final Mark

Reviewer's signature:

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QUESTION ONE (25 MARKS)

- *You should attempt to answer **ALL** questions in this section.*

Case Study:

Lina's country faces a current account deficit because dollar-priced imports raise costs and increase inflation. At the same time, long-term FDIs in renewable energy are boosting jobs and infrastructure. In contrast, PIs are quickly withdrawn from local markets when global interest rates rise.

Q1 a. (15 Marks).

Define the concept of Balance of Payment and discuss its key features. Also, discuss what the Global Imbalances concept means.

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Q1 b. (10 Marks)

Based on the above case, what does it mean when a country has a current account deficit? Explain how foreign direct investments (FDIs) benefit Lina's country.

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QUESTION TWO (25 MARKS):

Explain the difference between the theory of comparative advantage and the theory of absolute advantage in international trade. Provide one real-world example for each to show how countries benefit from trade.

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QUESTION THREE (25 MARKS):

Discuss why raising finance is important for organisations. Then, describe retained earnings and working capital as two common sources of finance, providing an example of how each can be applied in practice.

QUESTION FOUR (25 MARKS):

Explain how Corporate Social Responsibility (CSR) is put into practice in relation to labour conditions and ethical and sustainable practices in supply chains. Provide one example for each area.

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